# ECON 0100 | Vignette D2 | Commons

*Due in Recitation. Vignettes are a certificate of the work done together in Recitation.*

## Late Night Ingredients

Two skilled potion makers, Slughorn and Snape, can each brew different types of potions. They share access to a garden where they gather rare ingredients for their potions. The ingredients can only be harvested late at night, making it difficult to know who else uses the garden. Each must decide how much of the ingredients to harvest. The payoff matrix shows their monthly profits in Coins:

| | | **Snape** | |
|---|---|---|---|
| | | S | OH |
| **Slughorn** | Sustainable (S) | 8, 8 | 2, 12 |
| | Over-Harvest (OH) | 12, 2 | 4, 4 |

a) What is Slughorn's best response when Snape chooses Sustainable? _____

b) What is Slughorn's best response when Snape chooses Over-harvest? _____

c) What is *(are)* the Nash Equilibrium? _____

d) What is the socially efficient outcome? _____